

The scale of the model is also reflected in DeHaat's financial performance. According to Tracxn, the company reported a 12% YoY increase in profit to ₹369 crore in FY25, a sharp turnaround from a loss of ₹1,133 crore in FY24. Revenue stood at ₹3,041 crore.

The shift towards integrated business models mirrors a broader industry view. A 2025 EY report argues that Indian agriculture is entering a phase where productivity, efficiency, sustainability and inclusivity must converge, with technology acting as an enabler rather than a standalone solution.

The agriculture sector contributes nearly 18% to the GDP and supports over half the population, the future of this sector depends on how effectively technology and innovation can be integrated to build resilient, profitable, and inclusive systems.

The revival is not limited to integrated value-chain players. Investors are also increasingly bullish on deep-tech and climate-focused agritech businesses. One example is Pune-based Ecozen, which develops solar-powered cold chain, irrigation, and energy solutions for agriculture. The company has steadily improved its performance, with profit rising from ₹20 crore in FY23 to ₹95 crore in FY25.

Investors say the renewed interest in deep-tech agritech is being driven by advances in AI, robotics, climate resilience and precision agriculture.

THE INVESTOR LENS

The recent revival in growth-stage funding is instilling confidence among new founders entering the agritech ecosystem. Arya.ag's recent fundraise—an integrated agritech and fintech platform that connects agricultural supply and demand by empowering farmers, farmer producer organisations and small agri-businesses with post-harvest storage, short-term finance, and digital market linkages—alongside AgroStar's \$30 million raise late last year, signals renewed investor confidence in the sector.

As per Prasanna Rao, CEO of Arya.ag, one of the



MARK KAHN
MANAGING PARTNER,
OMNIVORE

“
Agritech will have truly taken root in India when we have a couple of public companies and widespread farmer adoption of new technologies, new value chains and new platforms”

key changes in the ecosystem is that investors now have a much clearer understanding of its various segments.

Another area attracting attention is agricultural finance and supply chain. For decades, Indian agriculture has faced a chronic shortage of working capital, driven by factors such as high default rates, policy uncertainties and the inherent risks associated with farming. As a result, many unsecured lending models have struggled to succeed.

Industry experts argue that the opportunity lies in financing models that solve real problems while maintaining adequate safeguards against risk.

WHAT WOULD SUCCESS LOOK LIKE?

The funding winter also exposed a deeper reality that agritech does not lend itself to the blitzscaling playbook that powered sectors such as e-commerce, food delivery and, more recently, quick commerce. Building businesses in agriculture requires navigating

fragmented markets, seasonal cycles, farmer adoption challenges and complex supply chains, all of which take time to scale.

Industry experts argue that agritech needs patient capital and patient founders. Fresh funding rounds indicate that investor interest is returning, but capital is flowing into proven business models, rather than the sector as a whole.

Omnivore estimates that its portfolio companies have collectively worked with around 17 million farmers. Arya.ag works with one million farmers and DeHaat with 13 million. Yet, these numbers represent only a fraction of India's farmers.

The sector may not yet be there. But after years of learning hard lessons, India's agritech ecosystem appears to have entered a new phase, one built less on technology for technology's sake and more on solving the fundamental inefficiencies. **BT**

@PalakAgarwal64